BEFORE THE NATIONAL COMPANY LAW TRIBUNAL,

PRINCIPAL BENCH,

NEW DELHI

Company Petition No. (CAA) 28/PB/2018

Connected with

Company Application No.CA (CAA) 21/PB/2018

Judgment dated: 04.02.2019

Coram:

CHIEF JUSTICE (Rtd.) SHRI M.M. KUMAR,

HON'BLE PRESIDENT

&

DR. DEEPTI MUKESH,

MEMBER (JUDICIAL)

In the matter of:

Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

AND

IN THE MATTER OF SCHEME OF AMALGAMATION

AMONGST

K.D CONSULATANCY SERVICES PRIVATE LIMITED

……. (PETITIONER COMPANY NO. 1 /TRANSFEROR COMPANY NO. 1)

AND

WELLPOINT SYSTEMS PRIVATE LIMITED ……

(PETITIONER COMPANY NO. 2 /TRANSFEROR COMPANY NO. 2)

AND

COMPLETE DEWATERING SYSTEMS PRIVATE LIMTED….

(PETITIONER COMPANY NO. 3 /TRANSFEREE COMPANY)

Their respective Shareholders and Creditors

MEMO OF PARTIES

K.D CONSULATANCY SERVICES PRIVATE LIMITED

Company registered under the Companies Act, 2013

Having Registered Office at:

15-F Community Centre, Basant Lok, Vasant Vihar,

New Delhi -110057

…… Petitioner Company No. 1/ Transferor Company No. 1

WELLPOINT SYSTEMS PRIVATE LIMITED ……

Company registered under the Companies Act, 1956

Having Registered Office at:

15-F Community Centre, Basant Lok, Vasant Vihar,

New Delhi -110057

... Petitioner Company No. 2/ Transferor Company No. 2

COMPLETE DEWATERING SYSTEMS PRIVATE LIMTED....

Company registered under the Companies Act, 1956

15-F Community Centre, Basant Lok, Vasant Vihar,

New Delhi -110057

..... Petitioner Company No. 3/Transferee Company

For the Petitioners: Mr Saurabh Kalia, Advocate

Mr. Palash Agarwal, Advocate

ORDER

M.M. KUMAR, PRESIDENT

1. This Joint application has been filed by the Petitioner Companies under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the Scheme of Amalgamation. The copy of the Scheme has been placed on record.

2. A perusal of the petition discloses that initially the First Motion application seeking dispensation from convening the meeting of Shareholders and

Creditors was filed before this Bench and based on such joint application moved under Sections 230-232 of the Companies Act, 2013, this Tribunal vide its order dated 08.03.2018 issued directions to dispense with convening the meetings of shareholders, secured and unsecured creditors of the petitioner companies. On 28.03.2018 the Petitioners were directed to carry out publication in the newspapers English Daily 'Business Standard' (Delhi edition) as well as in Hindi Daily 'Jansatta' (Delhi edition). In addition thereto notices were directed to be served on the Regional Director (Northern Region), Registrar of Companies, NCT of Delhi and Haryana, Official Liquidator, the Income Tax Department and to the other relevant sectoral regulators.

3. It is seen from the records that the Petitioners have filed an affidavit dated 15.05.2018 affirming compliance of the order passed by the Tribunal dated 28.03.2018. A perusal of the affidavit discloses that the petitioners have effected the newspaper publication as directed in English Daily 'Business Standard' (Delhi Edition) as well as in Hindi Daily 'Jansatta' (Delhi Edition) on 10.04.2018 in relation to the date of hearing of the petition. Further, the affidavit also discloses that copies of petition were duly served on the Registrar of Companies, Regional Director, Northern Region, Official Liquidator and Income Tax Department in compliance of

the order and in proof of the same acknowledgement by the respective offices have also been placed on record.

4. The Regional Director has filed its representation dated 06.07.2018 and has observed that, firstly, the face value of equity share of Transferor Company No. 1 is Rs 100 each and accordingly the valuer has recommended 1467 equity shares of Rs. 10/- each of Transferee Company for every 1000 shares of rs 100/- each of Transferor Company No. 1 whereas in clause 10(a) of the proposed scheme of amalgamation, the face value of equity share of Transferor Company No. 1 is mentioned as Rs. 10/- each. In this respect, the Petitioner Companies vide their rejoinder affidavit dated 10.07.2018 have submitted that as per para 2.1 of the Scheme of Amalgamation, it has been written that the Transferor Company No. 1 has equity shares of Rs. 100 each, however, there was a typographical error made in para 10(a) of the scheme and the value of equity share was written as Rs 10/- each instead of Rs. 100/- each. In this respect, the Petitioner Companies have modified paragraph 10(a) and the same now reads as under:

"for every 1000 fully paid up equity shares of Rs. 100 each held in the Transferor Company No. 1, a shareholder of Trnaferor Company No. 1 shall without any application, act or deed, be entitled to receive 1457 fully

paid up equity shares of Rs. 10 each of the transferee company, as consideration of this scheme."

Secondly, the RD has observed that the company should undertake to pay the fees on its authorized capital subsequent to the amalgamation. Vide the affidavit dated 10.07.2018 it has been undertaken by the Petitioner Companies that the Transferee Company will pay the applicable fee, if any, on its authorized capital subsequent to the amalgamation.

5. The Official Liquidator has filed a report on 10.07.2018 wherein it has been stated that he has not received any complaint against the proposed Scheme from any person/ party interested in the scheme in any manner and that the affairs of the Applicant Companies do not appear to have been conducted in a manner prejudicial to the interest of its members, creditors or public interest.

6. Income Tax Department has filed its report with respect to the companies. It has been stated that the demand of Rs 12,65,593 is pending for the AY2012-2013 with respect to the Transferee Company. However, the Transferee Company has filed an affidavit stating that a rectification application is pending. This fact has also been recorded in the interlocutory order. Therefore, it is clear that the demand of the Income Tax Department is subject matter of rectification application filed by the transferee company which is pending consideration of the Income Tax Department

and an Indemnity bond dated 19.09.2018 has been given by transferee company to indemnify against all cost, damages and expenses in favour of income tax. With respect to transfeor company no. 1, it was observed that the company had not filed ITR for the AY 2017-2018. The Company, vide a rejoinder affidavit dated 23.10.2018 has stated that the company has filed the ITR for 2017-2018 and the same has been assessed vide Assessment order dated 02.03.2018 and no demand has been raised against the Transferor Company No. 1. It is pertinent to mention that despite last opportunity being given to the counsel for Income Tax Department, no reply/ objection has been received by Transferor Company No. 2. It is further submitted that Transferor Company No. 2 has filed the ITR for AY-2017-18 on 13.10.2017 and a refund of Rs. 4,59,410 has been claimed.

In view of the above, it is seen that all observations of the Income Tax Department are duly satisfied. The counsel for the petitioners has further stated that that no objections from any third party or public at large have been received against the Scheme of Amalgamation.

7. In the joint petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 are pending against the Petitioner Companies.

8. Certificates of respective Statutory auditors of the petitioner companies have been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013.

9. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, and the affidavits filed by the Regional Director, Northern Region, Ministry of Corporate Affairs and the report of official liquidator, there appears to be no impediment in sanctioning the present Scheme. Consequently, sanction is hereby granted to the Scheme under Section 230 & 232 of the Companies Act, 2013. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with law.

10. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

While approving the Scheme as above, we further clarify that this order should not be construed as an order in any granting exemption from

payment of stamp duty, taxes including income tax, GST etc or any other charges, if any, and payment in accordance with law or in respect of any permission/compliance with any other requirement which may be specifically required under any law.

12. **THIS TRIBUNAL DO FURTHER ORDER(S):**

WITH RESPECT TO TRANSFEROR COMPANIES AND TRANSFEREE COMPANY

1. That the Transferor Companies stands dissolved without being wound-up; and

2. That all the property, rights and powers of all the Transferor Companies, be transferred without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Act, be transferred to and vest in the Transferee Company for all the estates and interests of the Transferor Companies therein but subject nevertheless to all charges now affecting the same; and

3. That all the liabilities and duties of the Transferor Companies be transferred without further act or deed, to Transferee Company and accordingly the same shall, pursuant to Section 232 of the Act, be

transferred to and become the liabilities and duties of the Transferee Company; and

4. That all proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company; and

5. That all the employees of the Transferor Companies in service, if any, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date shall become the employees of the Transferee Company on such date without any break or interruption in service and upon terms and conditions not less favourable than those subsisting in concerned Transferor Companies on the said date.

6. That Petitioner companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Company for registration and on such certified copy being so delivered the Transferor Companies shall be dissolved and the Registrar of Company shall place all documents relating to the Transferor Companies registered with him on the file kept by him in relation to the Transferee Company

and the files relating to all the petitioner companies shall be consolidated accordingly.

Any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

The petition stands disposed of in the above terms.

-Sd-

(M.M. KUMAR) 04.02.2019

PRESIDENT

-Sd-

(DEEPTI MUKESH)

MEMBER (J)